

HOUSE No. 3529

The Commonwealth of Massachusetts

PRESENTED BY:

Joan Meschino

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act relative to building energy and decarbonization.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Joan Meschino</i>	<i>3rd Plymouth</i>	<i>1/15/2025</i>
<i>Nick Collins</i>	<i>First Suffolk</i>	<i>1/26/2026</i>
<i>Joanne M. Comerford</i>	<i>Hampshire, Franklin and Worcester</i>	<i>3/12/2025</i>
<i>Manny Cruz</i>	<i>7th Essex</i>	<i>2/4/2025</i>
<i>Marjorie C. Decker</i>	<i>25th Middlesex</i>	<i>2/14/2025</i>
<i>Samantha Montaño</i>	<i>15th Suffolk</i>	<i>2/1/2025</i>
<i>Margaret R. Scarsdale</i>	<i>1st Middlesex</i>	<i>10/14/2025</i>
<i>Danillo A. Sena</i>	<i>37th Middlesex</i>	<i>3/10/2025</i>
<i>Erika Uyterhoeven</i>	<i>27th Middlesex</i>	<i>3/20/2025</i>

HOUSE No. 3529

By Representative Meschino of Hull, a petition (accompanied by bill, House, No. 3529) of Joan Meschino and others relative to building energy and decarbonization. Telecommunications, Utilities and Energy.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act relative to building energy and decarbonization.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Said section 10 of said chapter 25A is hereby further amended by inserting
2 after subsection (c) the following new subsection:-

3 (c ½) To qualify as a green plus community, a municipality or other governmental body
4 shall: (1) file an application with the division in a form and manner to be prescribed by the
5 division; (2) establish a greenhouse gas emissions baseline inventory for residential, commercial
6 and industrial buildings sited within the municipality, which may also include transportation,
7 waste, and other sources of emissions within the municipality; (3) put in place a comprehensive
8 plan whose implementation begins within 1 year from the date of initial participation in the
9 program, designed to reduce the greenhouse gas emissions baseline inventory by a percentage
10 approved by the division that is not less than 20 per cent within 5 years of initial participation in
11 the program; (4) adopt the municipal opt-in specialized stretch energy code established in
12 subsection 14 of Section 6 of chapter 25A; and (5) fulfill qualifications subsection 2 through 6

inclusive of the green community program as described in section (c) or be served by a municipal lighting plant.

Preference shall be given to those municipalities that include additional sources of emissions within their greenhouse gas emissions baseline inventory. Not later than one year after the adoption of this section, the division shall adopt a tracking system for community-wide greenhouse gas emissions, to include but not be limited to the building, transportation, energy, land use, and waste sectors, that can be used by municipalities. The secretary may adapt these requirements based on a written finding that due to unusual circumstances, a municipality cannot reasonably meet all of the requirements and the municipality has committed to alternative measures that advance the purposes of the green plus communities program as effectively as adherence to the requirements.

SECTION 2. Said section 10 of said chapter 25A is hereby further amended in subsection (d) by striking the figure “20,000,000” and inserting in place thereof “40,000,000 with not less than \$10,000,000 going to green plus communities”.

SECTION 3. Section 20 of said chapter 25A is hereby amended by adding after “Building”, a building or multiple buildings on a parcel, or any grouping of buildings designated by the department as an appropriate reporting unit for the purposes of this section.” the following:-

“building emissions”, greenhouse gas emissions as expressed in metric tons of carbon dioxide equivalent emitted as a result of operating a covered building and calculated in accordance with rules promulgated by the department.

“building emissions intensity”, for a covered building, the number obtained by dividing the building emissions by the gross floor area for such building, expressed in metric tons of carbon dioxide equivalent per square foot per year.

SECTION 4. Said section 20 of chapter 25A is hereby amended by adding after section (e) the following sections:

(e ¼) The department shall promulgate regulations establishing annual carbon intensity limits on building emissions or a building energy performance standard or a combination thereof for large buildings in alignment with emissions limits and sublimits established in Chapter 21N. The regulations may allow for differences based on building use including commercial and industrial properties, residential buildings and other specialized typologies and may exclude electric vehicle charging. The building performance limits shall be set for periods of not more than five years and emissions limits shall decrease over time at a pace to at least align with emissions limits and sublimits established in Chapter 21N.

(e ½) The department shall promulgate regulations for alternative methods of compliance with building emissions intensity limits, energy use performance standards or a combination thereof as established by the department including but not limited to adjustments for the use of on-site renewable energy generation, adjustments for special categories of buildings or for special use, accommodations or support for buildings housing low- or moderate-income occupants, and alternative compliance payments. Alternative compliance payments shall be established such that low- and moderate-income households and small businesses are charged reduced amounts proportionate with their ability to pay. The division shall also establish fines for noncompliance which shall be higher than alternative compliance payments. Both alternative

compliance payments and fines shall be deposited into the building energy retrofit program trust fund established in section 21 of this chapter.

(e $\frac{3}{4}$) Except as otherwise provided in this statute or otherwise provided by regulation, after a building is deemed a large building, it shall not exceed the annual building performance limits for such building as determined by the department.

SECTION 5. Said section 20 of chapter 25A is hereby amended by adding at the end of section (g) the following:--

“Said materials shall be available in English and in other languages commonly spoken in the Commonwealth. Such outreach shall include a list of city, state, federal, private and utility incentive programs related to building energy reduction, renewable energy, or building retrofits for which buildings reasonably could be eligible.”

SECTION 6. Said section 20 of chapter 25A is hereby amended by adding at the end of section (i) the following:--

“The department shall establish standards for collecting data on large buildings from approved municipal programs and shall not require owners of buildings in those municipalities to separately report their data to the department. The department shall adopt regulations that allow municipalities to adopt their own large building reporting requirements and their own building emissions or a building energy performance standard that exceed those reporting requirements established pursuant to this section.”

SECTION 7. Said chapter 25A is hereby amended by adding after Section 20 the following:--

Section 21. (a) There shall be a grant and loan program within the department known as the Building Energy and Emissions Retrofit Funding Program, hereafter referred to as the program, for the purpose of encouraging and supporting building owners to invest in deep energy retrofits and whole-building energy performance upgrades to their properties that reduce greenhouse gas emissions, create healthier homes and buildings, and are in alignment with achieving the GWSA limits and sublimits established under Chapter 21N. Eligible projects for funding shall include pre-weatherization barrier mitigation, pre-electrification barrier mitigation, and renewable energy systems, if part of a more comprehensive deep energy retrofit or whole-building energy performance upgrade. Conversions from one fossil fuel system to another or additions of fossil fuel systems or infrastructure shall not be funded by these programs.

The department shall develop the program in consultation with the net zero energy building advisory council established in section 23 of this chapter, the executive office of housing and livable communities, the department of public utilities, the department of environmental protection, the energy efficiency advisory council, the department of public health, and the Massachusetts clean energy center. Nothing in this section guarantees an individual or corporation a right to the benefits provided in this section.

(b) The department shall design and implement the program, which shall include a certification process to certify qualified expenses for a grant or loan under this section. Applications for the program shall be reviewed and grants or loans shall be awarded on no less than an annual basis.

(c) The department shall, (i) promote awareness of the program, including through coordination with relevant trade groups, community-based organizations, nonprofits,

municipalities, regional planning agencies, and by integration in economic development marketing campaigns; and (ii) adopt measurable goals, performance measures, and an audit strategy to assess the utilization and performance of the program.

(d) The department shall fund (i) property that is located in an environmental justice community as defined in section 62 of chapter 30; (ii) property that is low- or moderate-income or rental housing; (iii) property owned by municipalities; and (iv) projects that address environmental burdens from air and/or water pollution.

(e) The incentives shall be funded, at least in part, by the building energy retrofit program trust fund established in section 22 of chapter 25A. To the extent possible, the program shall seek to leverage existing state and federal programs including, but not limited to, Massachusetts School Building Authority and the Massachusetts public library construction program.

(f) The department shall promulgate rules, regulations and guidelines for the administration and oversight of this chapter which shall include definitions of deep energy retrofit, pre-weatherization barriers, and pre-electrification barriers and may allow for municipalities to establish or continue their own municipal program so long as it meets or exceeds the greenhouse gas emissions reductions of the Building Energy Retrofit Funding Program. The department shall commence awarding funds no later than January 1, 2027.

Section 22. (a) The commissioner shall create and administer the building energy retrofit program trust fund into which shall be deposited: (i) any revenues or other financing sources directed to the fund by appropriation; (ii) bond revenues authorized by the general court and designated to be credited to the fund; (iii) any income derived from the investment credited to the fund; (iv) funds from public or private sources including, but not limited to, gifts, federal or

private grants, donations, rebates and settlements received by the commonwealth that are designated to be credited to the fund; and (v) all other amounts credited or transferred into the fund from any other source.

(b) There shall be established upon the books of the commonwealth a separate fund to be known as the Building Energy Retrofit Trust Fund. There shall be credited to said fund all amounts received through (i) any revenues or other financing sources directed to the fund by appropriation; (ii) bond revenues authorized by the general court and designated to be credited to the fund; (iii) any income derived from the investment credited to the fund; (iv) funds from public or private sources including, but not limited to, gifts, federal or private grants, donations, rebates and settlements received by the commonwealth that are designated to be credited to the fund; and (v) all other amounts credited or transferred into the fund from any other source. All amounts credited to the fund shall be held in trust and shall be available for expenditure, without further appropriation, by the department for activities of the department related to section 18 and section 19 of this chapter. Any unexpended balance in the fund at the close of a fiscal year shall remain in the fund and shall be available for expenditure in the following fiscal year; provided however, that the fund shall not be in deficit at the end of any state fiscal year.

(c) The operating and administrative expenses shall not exceed 5 per cent of the annual total revenue expended from the fund.

(d) Annually, not later than December 1 of each year, the commissioner shall report on the activities of the fund to the clerks of the house of representatives, the senate and to the house and senate committees on ways and means, and the net zero energy building advisory council established in section 23 of this chapter. The report shall include an accounting of expenditures

made from the fund with a description of the purpose of each expenditure, an accounting of amounts credited to the fund and any unexpended balance remaining in the fund.

Section 23. (a) The commissioner shall establish a net zero energy building advisory council which shall review and provide feedback on the implementation of sections 20, 21 and 22 of this chapter with a focus on supporting development of net zero buildings in the commonwealth in alignment with the targets established in chapter 21N. The council shall be chaired by the commissioner or a designee and members shall include, but are not limited to: (i) The attorney general, or a designee; (ii) at least two residents of environmental justice communities as defined in section 62 of chapter 30; (iii) at least two certified minority-owned or women-owned small business enterprises that perform clean energy services; (iv) one representative of the public institutions of higher education included in section 5 of chapter 15A; (v) one representative of the MassHire state workforce board; (vi) one representative of the energy efficiency advisory council established in section 22 of chapter 25 who does not represent a state agency or utility that is otherwise seated on the council; (vii) one representative of a building trade association; (viii) one representative of the labor community; (ix) one residential architect; (x) one commercial architect; (xi) one building engineer; (xii) one non-profit that specializes in clean energy efficiency research; (xiii) one representative of the low-income energy affordability network; (xiv) two representatives of commonwealth cities and towns, one rural and one suburban; (xv) one representative of a regional planning agency; and (xvi) one expert in land use.

Non-voting members shall include the secretary of housing and community development or their designee; the commissioner of the department of public health or their designee the commissioner of the department of environmental protection or their designee; the CEO of

Massachusetts Clean Energy Center or their designee; a representative of an investor-owned utility, and a representative of a municipal lighting plant or municipal light plant industry association.

Interested parties shall apply to the commissioner for designation as members. There shall be members from each county of the commonwealth represented on the council. In their initial appointments, the commissioner shall designate one third of members to serve for one year, one third to serve for a term of two years and the remaining third to serve for a term of three years and their successors shall serve for terms of three years.

The advisory board may convene working groups. Such working groups may include individuals external to the advisory board. The commissioner shall invite the appropriate federal, state and local agencies and authorities to participate.

(b) The advisory council shall meet at least 4 times a year and shall hold at least 2 public hearings each year. The council shall review and monitor the recommendations for expenditure of grants and programs in the secretariat. In the event the council or members of the council disapproves of any such recommendation it may file a report noting its objection with the governor, the house and senate committees on ways and means and the joint committee on environment, natural resources and agriculture.

(c) Not later than December 1 of each year, the Department shall report on the activities of the council to the clerks of the house of representatives and the senate, to the house and senate committees on ways and means and to the chairs of the joint committee on telecommunications, utilities and energy.

SECTION 8. Section 23 of Chapter 25A is repealed.

SECTION 9. Section 8 of this act shall take effect on January 1, 2030.